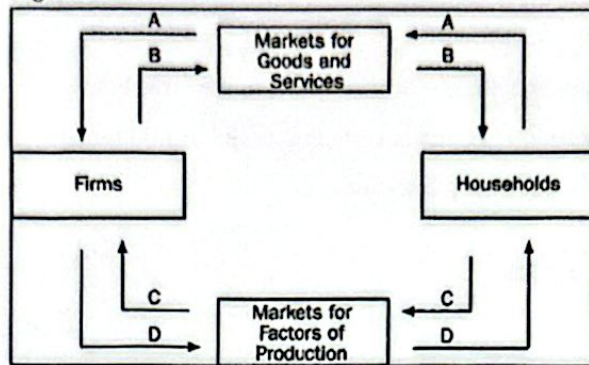


## Section – A [3 marks]

Figure 1-1



1. Refer to Figure 1-1. Which arrow represents the flow of the factors of production?

- ☐ A
- ☐ B
- ☒ C
- ☐ D

2. Refer to Figure 1-1. Which arrow represents the flow of products and services from firms to households?

- ☐ A
- ☒ B
- ☐ C
- ☐ D

3. Which of the following is an example of a transaction in the market for goods and services?

- ☐ A student works part-time at a bookstore.
- ☐ A factory purchases new machinery.
- ☒ A family buys weekly groceries from the supermarket.
- ☐ A landowner receives monthly rent from a corporation.

4. Which of these statements about economic models is correct?

- ☐ For economists, economic models provide insights about the world.
- ☐ Economic models are built with assumptions.
- ☐ Economic models are often composed of equations and diagrams.
- ☒ All of the above are correct.

**Section – B [12 marks]**

5. Comilla and Feni can both produce Yogurts and Laddus using human minutes as shown in the table below. Assume that each city can switch between producing the two goods at a constant rate and each has 60 human minutes available. Use the information in the table to answer the following questions.

| City    | Minutes to Make 1 Yogurt | Minutes to Make 1 Laddu |
|---------|--------------------------|-------------------------|
| Comilla | 3 minutes                | 10 minutes              |
| Feni    | 5 minutes                | 6 minutes               |

- a) Which city has the absolute advantage in producing what product? [2 marks]
- b) Which city has the comparative advantage in producing what product? [2 marks]

6. Suppose Spain has 60,000 hours of labor per month. Producing one tractor requires 300 hours of labor, and producing one ton of olives requires 15 hours.

- a) If Spain chooses to be self-sufficient and uses exactly half of its labor to produce each good, what will be its production and consumption of tractors and olives? [1 mark]
- b) Suppose Spain completely specializes in producing olives and decides to trade 1,000 tons of olives to France in exchange for 120 tractors. Calculate Spain's consumption with trade and identify the gains from trade for both goods. [3 marks]

7. Consider the market for instant noodles (an inferior good) in Bangladesh.

Due to increased rainfall and subsequent flooding, people can work less now, reducing their income. Additionally, Bangladeshi noodle companies are now diverting more resources to instant noodles production. Assume, the effects from the increased resources to noodle production are greater than the effects from flooding. Using a demand and supply diagram, explain and illustrate the overall effect on the price and quantity of instant noodles in Bangladesh due to the above events. [4 marks]

All answers must be written in proper english.  
The below is the solution guide.

5)

$$\begin{array}{r} C \\ \hline 10 \\ \swarrow \searrow \\ 3.334 \quad 1L \\ 14 \quad 0.8L \end{array}$$

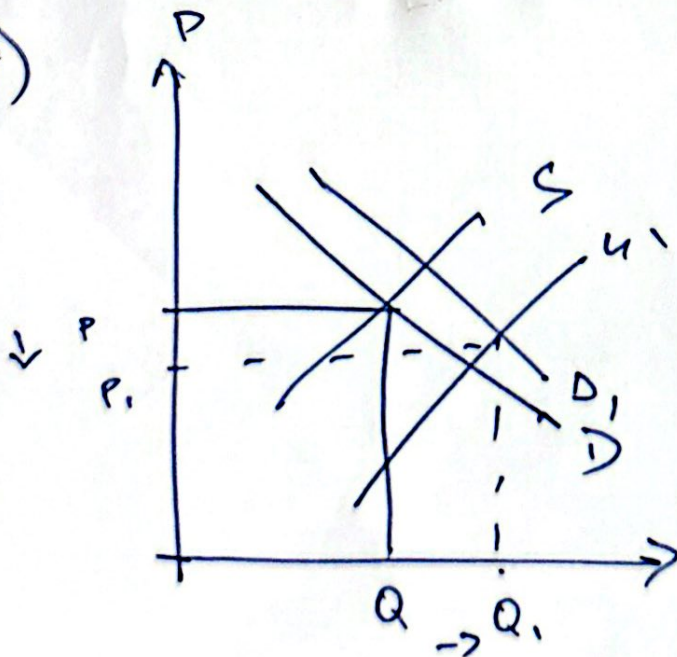
a)  $C = AA - Y$   
 $F = AA - L$

$$\begin{array}{r} F \\ \hline C \\ \swarrow \searrow \\ 1.24 \quad 1L \\ 14 \quad 0.83L \end{array}$$

b)  $C = CA - Y$   
 $F = CA - L$

6) 2) without trade Spain  $\rightarrow$  2000 olives 100 T  
c) with trade Spain  $\rightarrow$  4000 olives  
producers  
France  $\left\{ \begin{array}{l} \text{Spain has } 120 \text{ Tractors} \\ \text{France has } 1000 \text{ olives} \end{array} \right.$   
Therefore 3000 olives  
Spain gains - 1000 olives, 20 tractors.  
[and the world cup! ~~S~~]

7)



Due to the reduced income, demand for instant noodles increases & demand curve shifts right, while due to increased resource allocation supply also increases and the supply curve shifts right. Since the effect of increased resources is greater than that of reduced income, the supply curve shifts further to the right. As a result, equilibrium price decreases and equilibrium quantity increases.